

equivalently, at a volatility level equal to the S&P 500, the average annual compounded net return on O'Shea's fund would have been about 23 percent. Alternatively, if O'Shea had still been managing the portfolio as a proprietary account, an account type in which exposure is run at a much higher level relative to assets, the returns would have been many times higher for the exact same trading results. These discrepancies disappear if performance is measured in return/risk terms, which is invariant to the exposure level. O'Shea's Gain to Pain ratio (a return/risk measure detailed in Appendix A) is a strong 1.76.

I interviewed O'Shea in London on the day of the royal wedding. Because of related street closures, we met at a club at which O'Shea was a member, instead of at his office. O'Shea explained that he had chosen to join this particular club because they had an informal dress code. We conducted the interview in the club's drawing room, a pleasant space, which fortunately was sparsely populated, presumably because most people were watching the wedding. O'Shea spoke enthusiastically as he expressed his views on economics, markets, and trading. At one point in our conversation, a man came over and asked O'Shea if he could speak more quietly as his voice was disrupting the tranquility of the room. O'Shea apologized and subsequently dropped his voice level to library standards. Since I was recording the conversation, as I do for all interviews—I am such a poor note taker that I don't even make the attempt—I became paranoid that the recorder might not clearly pick up the now softly speaking O'Shea. My concerns were heightened anytime there was an increase in background noise, which included other conversations, piped-in music, and the occasional disruptive barking of some dogs one of the members had brought with him. I finally asked O'Shea to raise his voice to some compromise level between his natural speech and the subdued tone he had assumed. The member with the barking dogs finally left, and as he passed us, I was surprised to see—although I really shouldn't have been—that it was the same man who had complained to O'Shea that he was speaking too loudly.



When did you first become interested in markets?